

100 stocks. That gave me the chance to pick up the contracts on the five baskets for \$225 apiece (March 225s, remember) until mid-March. If the stocks in the S&P-100 Index were worth less than \$225, there would be no sense in exercising the options. If the stocks were worth more than \$225, then I'd make money. As I mentioned, the index options were settled in cash.

If this were the whole story it would be complicated enough, but there was also the business of "put" options and "call" options. I hesitate to bring it up, but I must. A call option, which is what I bought, gave me the right to BUY the stock index from somebody else. The put option gave me the right to SELL the stock index to somebody else. You could sell the right to BUY (sell a call), buy the right to SELL (buy a put), sell the right to SELL (sell a put) and buy the right to BUY (buy a call). Perhaps I can resolve this with Useful Tip Number 13:

**Buy a call or sell a put:
you want things to go up.
Sell a call or buy a put:
you want things to go down.
When in doubt, do neither.**

In trying to better understand this myself, I sought out Mr. Gressel, the futures and options trader who got me onto the floor of the New York Futures Exchange in the first place. Since I'd lost his phone number at the clearinghouse, I had to bother his wife, Claudia, the book-review editor, to give it to me again. If she's reading this for possible review, let me thank her once more for her patience and her cordiality. "I have to warn you," she said. "Gressel might not be in a sociable mood. Last I heard, he was down for the day."

The clearinghouse is where traders go in the afternoons to consider their gains and their losses. This particular house was Wagner-Stott, one of many firms the public never hears about, which occupy entire floors in high-rent Wall Street buildings. The secretary was gone for the day, so I invited myself through the lobby and into the back room.